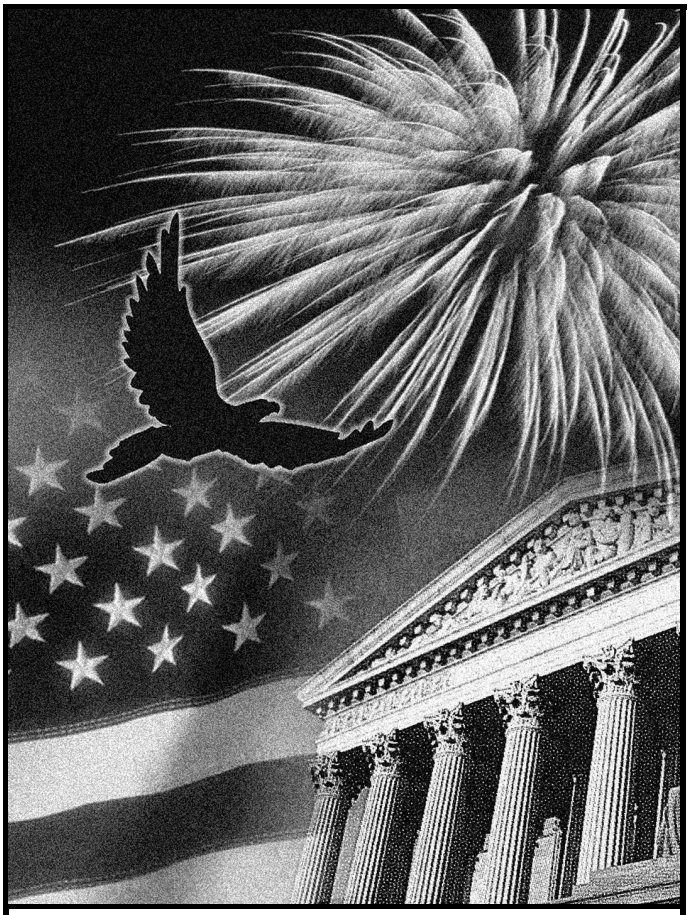
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Household Employer's Tax Guide

For use in **2012**

(Rev. March 2012)



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What's New

Future developments. The IRS has created a page on IRS.gov for information about Publication 926 at *www.irs.gov/pub926*. Information about any future developments affecting Publication 926 (such as legislation enacted after we release it) will be posted on that page.

Social security and Medicare tax for 2012. For 2012, the employee tax rate for social security is 4.2%. The employer tax rate for social security remains unchanged at 6.2%. The 2012 social security wage base limit is $110,100. In 2012, the Medicare tax rate is 1.45% each for employers and employees, unchanged from 2011. There is no wage base limit for Medicare tax.

Social security and Medicare taxes apply to the wages of household employees you pay $1,800 or more in cash or an equivalent form of compensation. For more information, see *Social security and Medicare wages* under *Social Security and Medicare Taxes*, later.

FUTA tax rate for 2012. The FUTA tax rate remains unchanged at 6.0%.

Mar 06, 2012

Example. You made an agreement with John Peters to care for your lawn. John runs a lawn care business and offers his services to the general public. He provides his own tools and supplies, and he hires and pays any helpers he needs. Neither John nor his helpers are your household employees.

More information. More information about who is an employee is in Publication 15-A, Employer's Supplemental Tax Guide.

Can Your Employee Legally Work in the United States?



It is unlawful for you knowingly to hire or continue to employ an alien who cannot legally work in the United States.

When you hire a household employee to work for you on a regular basis, you and the employee must complete the U.S. Citizenship and Immigration Services (USCIS) Form I-9, Employment Eligibility Verification. No later than the first day of work, the employee must complete the employee section of the form by providing certain required information and attesting to his or her current work eligibility status in the United States. You must complete the employer section by examining documents presented by the employee as evidence of his or her identity and employment eligibility. Acceptable documents to establish identity and employment eligibility are listed on Form I-9. You should keep the completed Form I-9 in your own records. Do not submit it to the IRS, the USCIS, or any other government or other entity. The form must be kept available for review upon notice by an authorized U.S. Government official.

Two copies of Form I-9 are contained in the Handbook for Employers (Form M-274) published by the USCIS.



Call the USCIS at 1-800-870-3676 to order the Handbook for Employers; or you may download the handbook at www.uscis.gov. If you have questions about the employment eligibility verification process or other immigration-related employment matters, contact the USCIS Office of Business Liaison at 1-800-357-2099.



You also can visit the USCIS website at www.uscis.gov to get Form I-9.

For more information, see *Employee's Social Security Number (SSN)* in Publication 15 (Circular E), Employer's Tax Guide.

Do You Need To Pay Employment Taxes?

If you have a household employee, you may need to withhold and pay social security and Medicare taxes, pay federal unemployment tax, or both. To find out, read Table 1.

You do not need to withhold federal income tax from your household employee's wages. But if your employee asks you to withhold it, you can. See *Do You Need To Withhold Federal Income Tax*, later.

If you need to pay social security, Medicare, or federal unemployment tax or choose to withhold federal income

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		**THEN you need to ...**
A–	Pay cash wages of $1,800 or more in 2012 to any one household employee. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, • Your parent (see *Social Security and Medicare Taxes*, later, for an exception), or • Any employee under the age of 18 at any time in 2012 (see *Social Security and Medicare Taxes*, later, for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 13.3% of cash wages. • Your employee's share is 5.65%. (You can choose to pay it yourself and not withhold it.) • Your share is 7.65%.
B–	Pay total cash wages of $1,000 or more in any calendar quarter of 2011 or 2012 to household employees. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, or • Your parent.	Pay federal unemployment tax. • The tax is 0.6% of cash wages. • Wages over $7,000 a year per employee are not taxed. • You also may owe state unemployment tax.
Note. If neither A nor B above applies, you do not need to pay any federal employment taxes. But you may still need to pay state employment taxes.		